



PAPER – 3: ADVANCED AUDITING, ASSURANCE AND PROFESSIONAL ETHICS



QUESTIONS

PART A: Multiple Choice Questions

Integrated Case Scenario

ComTeK Limited, a top 1000 listed entity on the BSE by market capitalization for the past two years, sells IT and related equipment directly to consumers through its website.

One day, the CFO of the company received a video call from the Managing Director (MD) instructing him to transfer ₹ 90 lakhs to the bank account of NxT Limited. When questioned by the CFO, the Managing Director explained NxT's products are fast moving and contribute 30% of the company's revenue. Further, the amount of payment is within the approved limit and can easily be remitted without any further approval. Satisfied with the explanations, the CFO made the necessary transfer.

At the end of the month, while preparing the bank reconciliation statement, the CFO realised that five incremental payments of ₹ 90 lakhs each had been made to NxT Limited. These payments were unreconciled and does not have any corresponding entry in the books of account. The CFO explained the situation to the MD, reminding him about the video call that had instructed him such payments. However, the MD denied making any such video call.

The CFO and Managing Director engaged a forensic expert, who observed that the company had cyber-attack using sophisticated AI tools. Investigation further revealed that the video call to the CFO was fake and made from the laptop not owned by the company. The hackers had gained access to the CFO's laptop and have obtained bank details and its authorisation

information. The company filed a police complaint and reported the incident to the appropriate authorities.

During the risk assessment process, the auditor of the company determined that the IT environment poses a significant risk. The auditor assessed that the principal financial systems used in the preparation of the financial statements were compromised during the cyber-attack. The auditor also focused on the judgements made by management related to the known security incidents. The auditor made inquiries with Risk Management team and with the Chief Information Officer to understand their assessment of the cybersecurity risk and the measures in place to mitigate this risk, focusing on the principal financial systems used in the preparation of the financial statements. The auditor also communicated with those charged with governance about the cyber incident. After completion of necessary procedures, the auditor felt that it had incurred additional efforts to the tune of 20%. The auditor reviewed, with the assistance of specialists, management's assessment of the potential impact on the principal financial systems used in the preparation of the financial statements.

The management of the company was impressed about the level of detail and diligence employed by the auditor while dealing with the cyber security incident. They particularly appreciated the in-depth knowledge of the auditor, timely involvement of IT specialist by the auditor and experience in dealing with cyber-security incidents. The management felt that the auditor would be the right fit for conducting a thorough audit of the IT systems of the company. In order to leverage the auditor's expertise, the management proposed to engage the auditor to conduct a system audit.

The stakeholders of the company believe that Integrated Reporting, as prescribed by the International Integrated Reporting Council, should be prepared by the management. The primary purpose was to explain to providers of financial capital how the company creates, preserves or erodes value over time. The Integrated Report would provide relevant information, both financial and other for the benefits all stakeholders interested in a company's ability to create value over time, including employees, customers, suppliers, business partners, local communities, legislators, regulators and policy-makers.

On the basis of the above mentioned facts, you are required to answer the following MCQs:

1. In the given case, cyber-attack encountered by the company is known as:
 - (a) Spoofing
 - (b) Denial of Services Attack
 - (c) Malware
 - (d) Identity Based Attack
2. The engagement partner is confused as to whether the audit report would be impacted by the cyber-attack instance. What is the appropriate reporting implication:
 - (a) No implication in the audit report since the financial loss has already been recognised in the financial statements.
 - (b) Qualify audit opinion as the amount of loss due to cyber-attack is incremental and does not emanate from its operating activity.
 - (c) Include an Emphasis of Matter paragraph as cyber security incidents are by default fundamental to the attention to the users of the financial statements.
 - (d) Report as a Key Audit Matter since the cyber incidence was of most significance in the audit of the financial statements of the current period.
3. The company wants to prepare an Integrated Report as contained in the International Integrated Reporting Council and endorsed by SEBI. The Company Secretary is of the view that Integrated Report is mandatory for a listed entity. Which of the following is correct in this regard?
 - (a) The view of Company Secretary is correct since the company meet the qualifying threshold i.e. Top 1000 listed entity by market capitalisation at the end of the previous year.
 - (b) The view of company Secretary is incorrect as Integrated Reporting is voluntary for the top 500 listed entities.

- (c) The view of Company Secretary is correct as the company meet the qualifying threshold i.e. Top 1000 listed entity by market capitalisation at the end of the current year.
 - (d) The view of Company Secretary is incorrect since Integrated Reporting is voluntary for the top 1000 listed entities.
4. Integrated Reporting comprises 6 categories of capital. The company observed that it has capitalised intangible assets (patent) and roof top solar equipment in the balance sheet. In the Integrated Report patents and solar equipment should be disclosed respectively as:
- (a) Financial Capital and Manufactured Capital.
 - (b) Natural Capital and Financial Capital.
 - (c) Intellectual Capital and Natural Capital.
 - (d) Human Capital and Intellectual Capital.
5. Can the auditor accept the system audit as offered by the ComTeK Limited?
- (a) Yes, the statutory auditor can accept the assignment of system audit, provided it did not involve any scrutiny/review of financial data and information.
 - (b) Yes, the statutory auditor can accept the assignment of system audit, provided it involves any scrutiny/review of financial data and information
 - (c) Yes, the statutory auditor can accept the assignment of system audit, provided the fee for system audit is not more than the audit fee.
 - (d) No, the statutory auditor cannot accept the assignment of system audit since it did not involve any scrutiny/review of financial data and information.

Independent MCQs

6. CA Vijay qualified as CA in November 2022 started his professional practice in Delhi. Since he has enough time to devote on other activities, he is considering the following four options:

- Part-time tutorship under the coaching organisation of the Institute.
- Editorship of journals other than professional journals.
- Acting as recovery consultant in the banking sector.
- Owning agricultural land and carrying out agriculture activity.

Do you think CA Vijay needs to take any specific and prior permission from the Council for any or all of the above mentioned activities?

- (a) Specific and prior permission is required for editorship of journals other than professional journals.
 - (b) Specific and prior permission is required for part-time tutorship and acting as recovery consultant.
 - (c) Specific and prior permission is required for acting as recovery consultant and owning agricultural land and carrying out agriculture activity.
 - (d) Specific and prior permission is required for editorship of journals other than professional journals and carrying out agriculture activity.
7. CA RK, the auditor of Shipra Limited resigned from the post due to personal reasons. CA SP was appointed as the subsequent auditor of the company by the Board of Directors. During the conclusion of the audit for the 2023-24, should CA SP mention CA RK 's resignation in the Companies (Auditor's Report) Order 2020?
- (a) No. CARO 2020 does not state any requirements to report resignation of auditor. However, the same needs to be mentioned by CA SP in the Audit Report under Other Matter Paragraph, as per SA 706.
 - (b) Yes. As per clause (xviii) of para 3 of CARO, CA SP should report the resignation of CA RK and state if he has taken into consideration the issues or objections raised by CA RK.
 - (c) No. Since the resignation of CA RK is due to his own personal reason, the same need not be reported under CARO.

- (d) Yes. As per clause (xxi) of para 3 of CARO, CA SP should report the resignation of CA RK and state if he has taken into consideration the issues or objections raised by CA RK.
8. SMN Limited is a management consultancy firm and in operation for the last 15 years. The company's financial reporting process is sound, and its statutory auditors has issued clean report on the audit of the financial statements of the company since inception. Due to mandatory audit rotation under the Companies Act 2013, MNO & Associates was appointed as the new auditor for the financial year ending 31 March 2024. During the audit, MNO & Associates performed procedures on both the current year's financials and the opening balances. No significant issues have been observed during the audit and the auditors intended to issue a clean report, they included an "Other Matters" paragraph in the draft report, noting that the previous year's financials were audited by a different auditor. The management requested this reference be removed since MNO & Associates audited the opening balances also and such a reference is not required. However, the auditors did not agree with the management. Please advise the auditor or the management whoever is incorrect with the right guidance.
- (a) The contention of the management is valid. After performing all the audit procedures, an auditor should not pass on the responsibility to another auditor by including such references in his audit report.
- (b) Any auditor has two options, either to perform audit procedures on opening balances or given such reference of another auditor in his report. An auditor cannot mix up the things like this auditor has done. It is completely unprofessional.
- (c) In the given situation even if the auditor wants to give such reference, the management and the auditor should have taken approval from the previous auditor at the time of appointment of new auditor. In this case, it cannot be done.
- (d) The report of the auditor is correct and is in line with the Standards on Auditing. An auditor is required to include such

reference in his report under Other Matter Paragraph which require referencing the previous auditor when applicable.

PART B: DESCRIPTIVE QUESTIONS**Standards on Auditing, Statements and Guidance Notes****Auditing Planning, Strategy and Execution**

9. RPS Ltd., at its annual general meeting, appointed Mr. R, Mr. P, and Mr. S as joint auditors to conduct the audit for the financial year 2023-24. For the valuation of the newly constructed infrastructure project of the company, Mr. R, Mr. P, and Mr. S decided to consult their own known engineers. Due to differences of opinion, each joint auditor sought advice from their respective engineers. As a result, significant discrepancies were found in the valuation reports provided by the engineers. However, Mr. R agreed with the report provided by Mr. P's engineer, while Mr. S did not. Mr. R argues that report of Mr. P's engineer should be included in the audit report due to the majority of votes. Now, Mr. S is in a dilemma.

What would be the responsibility of the auditors if the report provided by Mr. P's engineer is later found to be faulty?

Materiality, Risk Assessment and Internal Control

10. AMRO Ltd. is a manufacturing and trading Company of leather goods since last 10 years. You are the internal auditor of the company for the year 2023-24. In order to review internal controls of the company, you visited the departments and noticed:
- (1) The head of procurement, Mr. Amit, has complete control over purchasing, receiving goods, and approving payments to suppliers. His actions are not reviewed by any other person in the company.
 - (2) The company's staff has been working in the same roles for over five years without any rotation. The finance manager, Mr. Sachin, in particular, has never had his duties rotated since joining the company.
 - (3) The store manager, Mr. Gupta, who is responsible for maintaining the inventory, also keeps the inventory records.

- (a) Briefly discuss the general conditions pertaining to the internal check system to be ensured by you as an auditor.
- (b) Do you think that general conditions pertaining to the internal check system are violated in the given situation?

Completion and Review

11. Mudit & Associates is appointed as Statutory Auditors of GRF Private Limited for the financial year 2023-24. The company is into the business of Health Club, Fitness Centre and gym costumes. CA M is the Engagement Partner for the audit assignment. CA M observed the following points while auditing:

- (i) Customer's base is reducing continuously due to tough competition and discount war existing in the market.
- (ii) Payments of creditors are delayed and made with overdue interest.
- (iii) Company has not been able to pay the salaries of staff and trainers on time.
- (iv) Key financial ratios of the company, like current ratio, debt-service coverage ratio, are in the red and have deteriorated considerably as compared to last year.
- (v) The company has requested its bankers to provide it with additional working capital credit facilities of ₹ 1.5 Crores, but bankers are not considering the company's proposal favorably.

What audit procedures should be followed by CA M considering the above circumstances as per SA 570-"Going Concern"? How auditor should deal if the use of going concern basis of accounting is appropriate, but a material uncertainty exists, and adequate disclosure of material uncertainty is made in the financial statements?

Reporting

12. The extract of the financial statements of Nex Limited for the financial year 2023-24 is as follows:

Particulars	Rupees (in Crores)
Trade Receivable - Unsecured considered Good	225.00

Provision for Bad and Doubtful Debts	50.00
Stock of Raw Materials	180.00
Stock of Finished Goods	250.00
Total of Assets	950.00

CA Yash is the statutory auditor of Nex Ltd. for the FY 2023-24. During the course of audit CA Yash noticed the following:

- i. With respect to the debtors amounting to ₹ 175 crore, no balance confirmation was received by the audit team. Further, there have been defaults on the payment obligations by debtors on the due dates during the year under audit. The company has created a provision for doubtful debts to the tune of ₹ 50 crore during the year under audit. The company has stated that the provision is based on receivables which are older than 36 months, which according to the audit team is inadequate and as such the audit team is unable to ascertain the carrying value of trade receivables.
- ii. Further, in respect of inventories (which constitutes 45% of the total assets of the company), during the reporting period, the management has not undertaken physical verification of inventories at periodic intervals. Also, the company has not maintained adequate inventory records at the factory. The audit team was unable to undertake the physical inventory count as such the value of inventory could not be verified.

What kind of opinion should be given by CA Yash in the given situation? Draft a suitable Opinion and Basis of Opinion paragraph.

Prospective Financial Information and Other Assurance Services

13. Mr. Vineet, an auditor, has been approached by Qub Ltd. to examine the prospective financial information of the company. What factors should an auditor consider before accepting an engagement to examine prospective financial information, and under what conditions should the auditor decline or withdraw from such an engagement? Additionally, what steps should be taken to formalize the terms of the engagement?

Digital Auditing and Assurance

14. Mr. Karan is a consultant tasked with helping a mid-sized manufacturing company modernize its operations by integrating Internet of Things (IoT) technology. The company wants to connect various devices such as manufacturing equipment, smart home security systems for their facility, and inventory management systems. They aim to leverage IoT to improve operational efficiency, predict equipment maintenance needs, and enhance overall security. However, they are concerned about the potential risks and the impact on their audit processes. Describe the key components and benefits of IoT, the risks associated with IoT implementation, and the implications for the company's audit processes. How should the company address these concerns to ensure a smooth transition?

Group Audits

15. You are appointed as an auditor of Imperial Industries Limited, a listed company with a turnover of ₹ 3.5 billion, operating through 15 business units and nearly 200 branches across the country. Imperial Industries Limited is a key supplier to the American building and construction market. As an auditor, how will you draft the report in case:
- (a) When the Component(s) Auditor Reports on Financial Statements under an Accounting Framework Different than that of the Parent?
 - (b) When the Component(s) Auditor Reports under an Auditing Framework Different than that of the Parent?
 - (c) Where the financial statements of one or more components are not audited?

Bank Audit

16. Your firm ABC Associates is appointed as Central Statutory Auditors of a Nationalised Bank for the year 2023-24. The Bank follows the financial year as accounting year. During the audit, CA Aadi, the Audit Manager has noticed following issues and placed the same before the team.

Particulars	
Consortium Cash Credit Facilities to Prime Ltd.	₹ 75 crores

Bank's own Share in Cash Credit Facilities	₹ 15 crores
Debits towards Interest in the Last Two Quarters	₹ 2.25 crores
Credits in Prime Ltd.'s Account in the Last Two Quarters	₹ 1.75 crores
Classification of Prime Ltd.'s Account (Based on Lead Bank's Certificate)	Performing Account

As an auditor, how will you deal with the above mentioned matter?

Internal Audit

17. Rishi is appointed as internal auditor for a SPOM Limited, a medium-sized manufacturing company, while CA Nitin is the statutory auditor of the SPOM Limited.
 - (a) During the review, Rishi notices several discrepancies in the disbursement records and suspects there might be weaknesses in the internal control system. Additionally, there have been recent changes in the company's business policies that he was not informed about. Rishi is concerned about maintaining his independence and objectivity while ensuring that management is aware of these issues. What are the responsibilities of Rishi as an Internal Auditor with respect to the accounting function and financial records of the organisation?
 - (b) CA Nitin asked Rishi to provide direct assistance to him regarding evaluating the appropriateness of management's use of the going concern assumption. In view of Standards on Auditing, whether Nitin can ask direct assistance from Rishi as stated above?

Due Diligence, Investigation & Forensic Accounting

18. CA. Rajul is designated as the Credit Manager at a branch of APP Bank Limited. PQR Ltd has approached the branch with a request to sanction credit facilities worth ₹ 12 crore for meeting its regular business needs. This is a potential new client for the bank. She has reviewed the company's past history, the background of its promoters and directors, the shareholding pattern, and the nature of its business. She also conducted an assessment of the financial results of past years and future

projections. Additionally, she carried out a SWOT analysis of the company.

She also evaluates the net worth of the directors, checks the CIBIL score, and verifies whether the names of the promoters or directors appear on the RBI defaulters' list. Furthermore, she makes discreet inquiries with a few clients of the branch who are engaged in a similar line of activity regarding the creditworthiness of the company, its promoters, and directors.

Based on the above:

- (a) Identify the procedures followed by CA Rajul and discuss its nature.
- (b) Would your answer be different if this activity was to be performed by a person not qualified as a Chartered Accountant? Can a non-CA perform such activity? State reason.
- (c) Name any three other areas where the identified activity can be undertaken.

Sustainable Development Goals (SDG) & Environment, Social and Governance (ESG) Assurance

19. Kapil is appointed as an external auditor to provide assurance on a company's Business Responsibility and Sustainability Report (BRSR). To ensure the report's accuracy and reliability, he needs to follow a comprehensive methodology that includes several key steps. What methodology should Kapil follow to provide assurance on the BRSR?

Professional Ethics & Liabilities of Auditors

20. (a) CA Vaayu is the auditor of Viva Limited having a turnover of more than ₹ 200 Crores. The audit fee for the year is fixed at ₹ 80 Lakhs. During the year, the company offers CA Vaayu an assignment of representation before Income Tax Appellate Tribunal for certain matter for remuneration of ₹ 1.75 crores. CA Vaayu accepted the assignment. Discuss action of CA Vaayu with reference to the provisions of the Chartered Accountants (Amendment) Act, 2006 and Schedules thereto.

(b) Sanjeev & Associates, a firm of Chartered Accountants responded to a tender from a PF Office, Chembur for filing quarterly e-TDS returns. The terms of tender are as follows:

- (i) Earnest Money Deposit of ₹ 7,500/-
- (ii) It is open for all categories
- (iii) Maximum fees of ₹ 7,500/- per quarter

Discuss whether Sanjeev and Associates can respond to the said tender with reference to provisions of the Chartered Accountants (Amendment) Act, 2006 and Schedules thereto.